

Alumex PLC

Interim Report



Fourth Quarter

Twelve Months Ended 31st March, 2017

Income Statements

For the period ended 31st March, 2017

	<u>Consolidated</u>			<u>Consolidated</u>		
	Unaudited 12 months to 31.03.17 Rs.'000	Audited 12 months to 31.03.16 Rs.'000	Change %	Unaudited 3 months to 31.03.17 Rs.'000	Unaudited 3 months to 31.03.16 Rs.'000	Change %
Revenue	4,728,319	3,995,449	18	1,493,991	1,177,488	27
Less-NBT	(93,559)	(79,781)	17	(29,119)	(23,546)	24
Net Revenue	4,634,760	3,915,668	18	1,464,871	1,153,941	27
Cost of sales	(3,188,336)	(2,738,835)	16	(977,095)	(754,776)	29
Gross profit	1,446,424	1,176,833	23	487,776	399,165	22
Other income	26,048	13,213	97	15,937	4,127	>100
Distribution expenses	(105,081)	(90,426)	16	(23,585)	(20,980)	12
Administrative expenses	(317,114)	(286,508)	11	(81,636)	(80,364)	2
Results from operating activities	1,050,277	813,112	29	398,492	301,948	32
Finance Income	14,307	23,092	(38)	1,748	(5,315)	>100
Finance Costs	(48,184)	(34,944)	38	(17,544)	7,526	>100
Net finance costs	(33,877)	(11,853)	>100	(15,797)	2,211	>100
Profit before tax	1,016,400	801,260	27	382,696	304,159	26
Tax expense	(262,904)	(212,137)	24	(120,135)	(93,686)	28
Profit for the period	753,496	589,123	28	262,561	210,473	25
Attributable to: Owners of the Company	<u>753,496</u>	<u>589,123</u>		<u>262,561</u>	<u>210,473</u>	
Earnings per share						
Basic earnings per share (Rs.)	2.52	1.97		0.88	0.70	

Statements of Comprehensive Income

	<u>Consolidated</u>			<u>Consolidated</u>		
	Unaudited 12 months to 31.03.17 Rs.'000	Audited 12 months to 31.03.16 Rs.'000	Change %	Unaudited 3 months to 31.03.17 Rs.'000	Unaudited 3 months to 31.03.16 Rs.'000	Change %
Profit for the Period	753,496	589,123	28	262,561	210,473	25
Other Comprehensive income						
Actuarial gains / (losses) on defined benefit plans	(4,295)	(8,632)	(50)	(4,295)	(8,632)	>100
Income tax effect on actuarial gains / (losses)	1,161	2,358	(51)	1,161	2,358	>100
Revaluation of land	101,105	-	>100	101,105	-	>100
Other comprehensive income for the period, net of tax	97,971	(6,274)	>100	97,971	(6,274)	>100
Total comprehensive income for the period, net of tax	851,467	582,849	46	360,532	204,200	77
Attributable to Owners of the parent	<u>851,467</u>	<u>582,849</u>		<u>360,532</u>	<u>204,200</u>	

Income Statements

For the period ended 31st March, 2017

	Company			Company		
	Unaudited 12 months to 31.03.17 Rs.'000	Audited 12 months to 31.03.16 Rs.'000	Change %	Unaudited 3 months to 31.03.17 Rs.'000	Unaudited 3 months to 31.03.16 Rs.'000	Change %
Revenue	4,115,268	3,465,854	19	1,287,047	1,017,893	26
Less-NBT	(81,300)	(69,015)	18	(24,739)	(20,344)	22
Net Revenue	4,033,968	3,396,839	19	1,262,308	997,549	27
Cost of sales	(2,918,086)	(2,455,959)	19	(881,533)	(673,151)	31
Gross profit	1,115,882	940,880	19	380,775	324,398	17
Other income	205,200	206,589	(1)	195,340	194,689	0
Distribution expenses	(103,070)	(87,720)	17	(22,360)	(20,573)	9
Administrative expenses	(301,713)	(265,880)	13	(79,264)	(71,624)	11
Results from operating activities	916,299	793,869	15	474,492	426,890	11
Finance Income	8,958	18,730	(52)	1,439	2,196	(34)
Finance Costs	(60,769)	(45,857)	33	(18,805)	(7,092)	>100
Net finance costs	(51,811)	(27,128)	91	(17,366)	(4,896)	>100
Profit before tax	864,488	766,742	13	457,125	421,995	8
Tax expense	(201,319)	(170,082)	18	(87,104)	(70,631)	>100
Profit for the period	663,169	596,660	11	370,022	351,364	5
Earnings per share						
Basic earnings per share (Rs.)	2.22	1.99		1.24	1.17	

Statements of Comprehensive Income

	Company			Company		
	Unaudited 12 months to 31.03.17 Rs.'000	Audited 12 months to 31.03.16 Rs.'000	Change %	Unaudited 3 months to 31.03.17 Rs.'000	Unaudited 3 months to 31.03.16 Rs.'000	Change %
Profit for the Period	663,169	596,660	11	370,022	351,364	5
Other Comprehensive income						
Actuarial gains / (losses) on defined benefit plans	(3,777)	(7,897)	(52)	(3,777)	(7,897)	(52)
Income tax effect on actuarial gains / (losses)	1,057	2,211	(52)	1,057	2,211	(52)
Revaluation of land	86,613	-	>100	86,613	-	>100
Other comprehensive income for the period, net of tax	83,893	(5,686)	>100	83,893	(5,686)	>100
Total comprehensive income for the period, net of tax	747,062	590,974	26	453,915	345,678	31

Statements of Financial Position

	<u>Consolidated</u>		<u>Company</u>	
	Unaudited	Audited	Unaudited	Audited
	as at	as at	as at	as at
	31.03.17	31.03.16	31.03.17	31.03.16
Notes	Rs.'000	Rs.'000	Rs.'000	Rs.'000
ASSETS				
Non - current assets				
Property, plant & equipment	1,915,818	1,293,137	1,704,715	1,069,096
Intangible assets	42,121	39,421	42,121	39,421
Investments in subsidiaries	-	-	30,000	33,264
Total non-current assets	1,957,939	1,332,558	1,776,836	1,141,781
Current assets				
Inventories	1,149,079	861,686	907,919	711,096
Trade and other receivables	864,221	507,937	715,534	455,820
Advances and prepayments	126,014	38,101	124,827	34,973
Other current financial assets	1,233	1,133	1,233	1,133
Cash & cash equivalents	165,332	138,450	154,774	117,503
Total current assets	2,305,879	1,547,307	1,904,287	1,320,525
Total assets	4,263,818	2,879,865	3,681,123	2,462,306
EQUITY AND LIABILITIES				
Stated capital	4 283,735	283,735	283,735	283,735
Capital reserves	228,056	228,056	228,056	228,056
Other components of equity	552,267	456,447	526,750	445,422
Revenue reserves	1,251,876	930,218	758,333	526,711
Total equity attributable to owners of the parent	2,315,934	1,898,456	1,796,874	1,483,924
Non- controlling interest	-	-	-	-
Total Equity	2,315,934	1,898,456	1,796,874	1,483,924
Non - current liabilities				
Interest bearing borrowings	512,000	-	512,000	-
Retirement Benefit Liability	91,248	79,522	82,638	72,180
Deferred tax liability	106,139	85,948	102,395	86,322
Total non-current liabilities	709,387	165,470	697,033	158,502
Current liabilities				
Trade and other payables	1,106,676	669,617	1,107,504	699,908
Provisions	9,355	6,954	7,715	5,704
Other current financial liabilities	-	553	-	553
Income tax payable	74,763	135,731	55,176	110,631
Interest bearing borrowings	47,703	3,084	16,821	3,084
Total current liabilities	1,238,497	815,939	1,187,216	819,880
Total liabilities	1,947,884	981,409	1,884,249	978,382
Total equity and liabilities	4,263,818	2,879,865	3,681,123	2,462,306

The Financial Position as at 31st March, 2017 and Income Statements, Statements of Comprehensive Income, Changes in Equity and Cash Flow for the twelve months then ended are drawn up from the unaudited financial statements of the Company, its Subsidiaries and they provide the information required by the Colombo Stock Exchange.

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act no 7 of 2007 .

Sgd

R P P K Rajapaksha

Chief Financial Officer

Signed for and on behalf of the Board

Sgd

A M Pandithage

Chairman

15th May 2017

Sgd

R P Peris

Managing Director

Statements of Changes in Equity

For the period ended 31st March, 2017

Consolidated

	Attributable to owners of the parent					
	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Shareholders' Funds	Total Equity
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 1st at April, 2016	283,735	228,056	456,447	930,218	1,898,456	1,898,456
Profit for the period	-	-	-	753,496	753,496	753,496
Other Comprehensive Income						
Actuarial gains / (losses) on defined benefit plans	-	-	-	(4,295)	(4,295)	(4,295)
Income tax effect on actuarial gains / (losses)	-	-	-	1,161	1,161	1,161
Revaluation of land	-	-	101,105	-	101,105	101,105
Total other comprehensive income	-	-	101,105	(3,134)	97,971	97,971
Total Comprehensive income for the period	-	-	101,105	750,363	851,468	851,468
Transactions with owners, recorded directly in equity						
Dividends to equity holders	-	-	-	(433,989)	(433,989)	(433,989)
Recovery for the period	-	-	-	-	-	-
Transfers	-	-	(5,285)	5,285	-	-
Total contributions by and distributions to owners	-	-	(5,285)	(428,704)	(433,989)	(433,989)
Balance as at 31st March 2017	283,735	228,056	552,267	1,251,876	2,315,934	2,315,934
Balance as at 1st at April, 2015	283,735	228,056	510,228	667,586	1,689,605	1,689,605
Super gain tax	-	-	-	(74,695)	(74,695)	(74,695)
Adjusted balance as at 1st April 2015	283,735	228,056	510,228	592,891	1,614,910	1,614,910
Profit for the period	-	-	-	589,123	589,123	589,123
Other Comprehensive Income						
Actuarial gains / (losses) on defined benefit plans	-	-	-	(8,632)	(8,632)	(8,632)
Income tax effect on actuarial gains / (losses)	-	-	-	2,358	2,358	2,358
Revaluation of land	-	-	-	-	-	-
Total other comprehensive income	-	-	-	(6,274)	(6,274)	(6,274)
Total Comprehensive income for the period	-	-	-	582,849	582,849	582,849
Transactions with owners, recorded directly in equity						
Dividends to equity holders	-	-	-	(299,303)	(299,303)	(299,303)
Recovery for the period	-	-	-	-	-	-
Transfers	-	-	(53,781)	53,781	-	-
Total contributions by and distributions to owners	-	-	(53,781)	(245,522)	(299,303)	(299,303)
Balance as at 31st March 2016	283,735	228,056	456,447	930,218	1,898,456	1,898,456

Statements of Changes in Equity

For the period ended 31st March, 2017

Company

	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 1st at April, 2016	283,735	228,056	445,422	526,711	1,483,924
Profit for the period	-	-	-	663,169	663,169
Reserve arose from amalgamation				(124)	(124)
Other Comprehensive income					-
Actuarial gains / (losses) on defined benefit plans	-	-	-	(3,777)	(3,777)
Income tax effect on actuarial gains / (losses)				1,057	1,057
Revaluation of land	-	-	86,613	-	86,613
Total other comprehensive income	-	-	86,613	(2,719)	83,893
Total Comprehensive income for the period	-	-	86,613	660,326	746,939
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	(433,989)	(433,989)
Transfers			(5,285)	5,285	-
Total contributions by and distributions to owners	-	-	(5,285)	(428,704)	(433,989)
Balance as at 31st March 2017	283,735	228,056	526,750	758,333	1,796,874
Balance as at 1st at April, 2015	283,735	228,056	499,203	254,120	1,265,114
Super gain tax				(72,861)	(72,862)
Adjusted balance as at 1st April 2015	283,735	228,056	499,203	181,259	1,192,253
Profit for the period	-	-	-	596,660	596,660
Other Comprehensive income					-
Actuarial gains / (losses) on defined benefit plans				(7,897)	(7,897)
Income tax effect on actuarial gains / (losses)	-	-	-	2,211	2,211
Revaluation of land	-	-	-	-	-
Total other comprehensive income	-	-	-	(5,686)	(5,686)
Total Comprehensive income for the period	-	-	-	590,974	590,974
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	(299,303)	(299,303)
Transfers			(53,781)	53,781	-
Total contributions by and distributions to owners	-	-	(53,781)	(245,522)	(299,303)
Balance as at 31st March 2016	283,735	228,056	445,422	526,711	1,483,924

Cash Flow Statements

For the period ended 31st March, 2017

Cash Flows from Operating Activities	Consolidated		Company	
	Unaudited 12 months to 31.03.17 Rs.'000	Audited 12 months to 31.03.16 Rs.'000	Unaudited 12 months to 31.03.17 Rs.'000	unaudited 12 months to 31.03.16 Rs.'000
Profit before taxation	1,016,400	801,260	864,488	766,742
Adjustments for,				
Finance cost	6,314	859	24,664	17,868
Finance income	(9,028)	(10,442)	(4,164)	(6,558)
Provision for gratuity	11,769	9,007	10,720	8,116
(Profit)/ loss on disposal of property, plant and equipment	2,038	(4,767)	2,038	(32,360)
Provision for bad debts	(8,480)	12,767	(4,731)	9,295
Provision for impairment of investment	-	-	-	3,127
Depreciation and amortisation	109,629	107,498	96,904	93,758
Operating profit before working capital changes	1,128,642	916,182	989,919	859,988
(Increase)/ decrease in inventories	(294,983)	(104,508)	(206,951)	(77,824)
(Increase)/ decrease in trade and other receivables	(366,452)	(179,373)	(269,227)	(200,450)
(Increase)/ decrease in advances and prepayments	(87,913)	(10,614)	(89,855)	(12,076)
Increase/ (decrease) in trade and other payables	438,908	74,024	409,189	113,112
Cash generated from operating activities	818,202	695,711	833,076	682,750
Finance cost paid	(6,314)	(859)	(24,664)	(17,868)
Income tax paid	(283,870)	(198,263)	(224,809)	(174,961)
Retirement benefit liability paid	(4,338)	(2,396)	(3,217)	(1,760)
Net cash from operating activities	523,680	494,194	580,386	488,162
Cash Flows from Investing Activities				
Acquisition of property, plant and equipment	(643,998)	(142,180)	(656,162)	(182,340)
Proceeds from sale of property, plant and equipment	15,642	5,185	15,642	150,685
Investment made in subsidiary				
Net Proceeds from short term investments	(100)	(70)	(100)	(70)
Finance income received	9,028	10,442	4,164	6,558
Net cash flows used in investing activities	(619,428)	(126,623)	(636,456)	(25,167)
Cash Flows from Financing Activities				
Repayment of interest bearing loans and borrowings	(553,084)	(14,417)	(553,084)	(14,417)
Proceeds from interest bearing loans and borrowings	1,092,882		1,062,000	-
Principal payments under finance lease liabilities	-	(174)	-	(174)
New shares Issue	-	-	-	-
Dividend paid	(433,989)	(425,010)	(433,989)	(425,010)
Net cash flows from/ (used in) financing activities	105,809	(439,601)	74,927	(439,601)
Net increase/ (decrease) in cash and cash equivalents	10,061	(72,030)	18,857	23,394
Cash and cash equivalents of Alumex Systems (Private) Limited as at 31 March 2017			1,593	
Cash and cash equivalents at the beginning of the year	138,450	210,480	117,503	94,109
Cash and cash equivalents at end of the year	148,511	138,450	137,953	117,503
Analysis of Cash & Cash Equivalents				
Cash in Hand and at Bank	165,332	138,450	154,774	117,503
Bank Overdraft	(16,821)	-	(16,821)	-
Cash and cash equivalents at end of the year	148,511	138,450	137,953	117,503

Notes to the Financial Statements

- 1 The Interim Condensed Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard LKAS 34- Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2016.

There were no changes to the Accounting Policies and methods of computation since the publication of the Annual Report for the financial year 2015/16.

The Interim Condensed Financial Statements also provide information required by the Colombo Stock Exchange.

- 2 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements.
- 3 Basic Earning Per Share is calculated by dividing the net profit for the year attributable to ordinary shareholders by the weighted average number of shares outstanding during the year

	Consolidated	
	Unaudited as at 31.03.17 Rs.'000	Audited as at 31.03.16 Rs.'000
Profit for the Period	753,496	589,123
Weighted Average No. of Shares	299,302,840	299,302,840
Earning Per share	2.52	1.97

4 STATED CAPITAL

	Unaudited as at 31.03.17 Rs.'000	Audited as at 31.03.16 Rs.'000
Issued and fully paid 299,302,840 Ordinary Shares	283,735	283,735

- 5 During the period there were no material changes in the composition of assets, liabilities and contingent liabilities and there is no seasonality and cyclicity affecting the interim operation.

Investor Information

MARKET VALUE OF SHARES

The market value of an ordinary share of Alumex PLC was as follows:

	31.03.2017
	Rs.
Closing price on	19.00
Highest price recorded for the three months ending	21.50
Lowest price recorded for the three months ending	18.40
Market capitalisation (Rs. Mn.)	5,687

RATIOS

	31.03.2017	31.03.2016
Net assets per share	7.74	6.34
Price earnings ratio (times) (Annualised)	7.55	7.82
Return on Equity	35.76%	32.84%
Return on Assets	17.67%	20.45%
Current Ratio	1.86	1.90
Gearing	18.11%	0.16%

DIVIDEND PAYMENT

Final Dividend 2015/16 - Cents 45 per share paid on 4th July, 2016

Interim Dividend 2016/17 - Rs.1.00 per share paid on 30th March , 2017.

SHARE TRADING FROM 1ST APRIL, 2016 TO 31ST MARCH, 2017

No. of transactions	11,242
No. of shares traded	70,417,936
Value of shares traded (Rs.)	1,325,384,124

Investor Information

FIRST TWENTY SHAREHOLDERS AS AT 31 MARCH 2017

	Name of the Shareholder	No.of Shares	%
1	Hayleys PLC	154,144,500	51.50
2	Akbar Brothers Pvt Ltd A/C No.1	40,217,782	13.44
3	Rosewood (Pvt) Ltd - Account No.01	29,340,300	9.80
4	Dean Foster (Pvt) Ltd A/C No.1	14,213,900	4.75
5	Mr. D.W.P.N.Dediwela	10,669,200	3.56
6	Union Assurance PLC /Account No.5 (Unit-Linked Life Insurance Fund-Equity Fund)	3,044,222	1.02
7	Ceylon Investment PLC A/C No.1	2,260,000	0.76
8	The Ceylon Chamber of Commerce Account No.02	1,150,000	0.38
9	Mr.T.H.D.I.U.Thirimanne	1,081,040	0.36
10	Arunodhaya (Private) Limited	1,000,000	0.33
	Arunodhaya Industries (Private) Limited	1,000,000	0.33
	Arunodhaya Investments (Private) Limited	1,000,000	0.33
	Insite Holdings (Pvt) Ltd	1,000,000	0.33
	Mr.K.D.H.Perera	1,000,000	0.33
	Mr.A.G.S.Swaminathan	1,000,000	0.33
11	Hatton National Bank PLC A/C No.4 (HNB Retirement Pension	900,000	0.30
12	Deutsche Bank AG As Trustee for Guardian Acuity Equity Fund	800,000	0.27
13	Hatton National Bank PLC A/C No.5 (Trading Portfolio)	740,000	0.25
14	Commercial Bank of Ceylon PLC A/C No.01	714,200	0.24
	Mr. M.L.Hirdaramani	714,200	0.24
	Mr.S.J.Hirdaramani	714,200	0.24
15	Mr.N.P.De A.Samaranayake	700,000	0.23
16	People's Leasing & Finance PLC/Hi Line Trading (Pvt) Ltd	690,750	0.23
17	East India Holding (Pvt) Ltd	668,515	0.22
18	Guardian Fund Management Limited/The Aitken Spence & Associate Companies Executive Staff Provident Fund	600,000	0.20
19	Waldock Mackenzie Ltd/Hi Line Trading (Pvt) Ltd	599,794	0.20
20	Peoples Bank	537,500	0.18
		270,500,103	90.35

There were no non voting shares as at 31 March 2017

The Public Holding percentage , as defined under Colombo Stock Exchange rules, was 16.83% as at 31 March 2017

Total number of shareholders representing the public holding were 2,223 as at 31st March 2017

DIRECTORS' SHAREHOLDINGS AS AT 31 MARCH 2017

Directors' holdings of ordinary shares in the Company were as follows

Name of Director	No.of Shares
Mr.A.M.Pandithage	10,000
Mr.R.P.Peris	70,000
Mr.D.W.P.N.Dediwela	10,669,200
Mr.R.P.Pathirana	243,949
Mr.S.Munaweera	20,000
Total	11,013,149

Corporate Information

NAME OF COMPANY

Alumex PLC
(A limited Liability company, incorporated in Sri Lanka in 2007)

COMPANY NUMBER

PV 539 PQ

STOCK EXCHANGE LISTING

The ordinary shares of the Company are listed with the Colombo Stock Exchange of Sri Lanka on 31 March 2014

REGISTERED OFFICE

Pattiwila Road,
Sapugaskanda, Makola,
Sri Lanka
Telephone: +94 11 240 0332
Facsimile: +94 11 240 0415
Website: www.alumexgroup.com

DIRECTORS

A M Pandithage – Chairman
R P Peris -Managing Director
D W P N Dediwela
S C Ganegoda
R P Pathirana
A A Akbarally
H H Abdulhusein (resigned w.e.f. 06th June 2016)
Dr.H.Cabral, PC
S Munaweera
A J Hirdaramani (Alternate Director to R P Pathirana)
T Akbarally (Alternate Director to A A Akbarally)

AUDIT COMMITTEE

S Munaweera - Chairman
Dr.H.Cabral, PC
R P Pathirana

REMUNERATION COMMITTEE

Dr.H.Cabral, PC – Chairman
S Munaweera

SUBSIDIARY COMPANIES

Alco Industries (Pvt) Ltd
Alumex Systems (Pvt) Ltd (Amalgamated with Alumex PLC w.e.f. 31st March 2017)

AUDITORS

Ernst & Young
Chartered Accountants
No. 201, De Seram Place
Colombo 10, Sri Lanka

INVESTOR RELATIONS

Please contact Corporate Affairs Unit
Telephone: +94 11 262 7610
E-mail: info@cau.hayleys.com

SECRETARIES

Hayleys Group Services (Private) Limited
400, Deans Road, Colombo 10, Sri Lanka
Telephone: +94 11 262 7650
Facsimile: +94 11 262 7655
E-mail: info.sec@hayleys.com

Please direct any queries about the administration of shareholdings to the Company Secretaries

BANKERS

Commercial Bank of Ceylon PLC
Foreign Branch
Commercial House
NO 21, Sir Razik Fareed Mawatha
Colombo 01, Sri Lanka

Sampath Bank PLC
Head Office,
No. 110, Sir James Peiris Mawatha
Colombo 02, Sri Lanka

Bank Of Ceylon
Corporate Branch
2nd Floor, Head Office
No. 04, Bank of Ceylon Mawatha
Colombo 01, Sri Lanka

Hatton National Bank PLC
Head office
HNB Towers
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